

VRRM pitch deck

Write is disabled in this session, so here is the deck inline (not saved to desk/reports/).

PITCH — VRRM — VERDICT

ADJUDICATED 2026-08-08 — FLAT. No position, no order. The “Avis walked away” story is factually wrong — the issuer says in its own Q2 release that Avis *entered into* a seven-year extension — but our own buy case fails its own tests: the document that settles how much of the contract Avis can pull in-house does not exist in any filing we can read yet, and we never pulled the company’s tax-receivable obligation or checked a real broker price.

What we believe

Verra Mobility runs two businesses: photo-enforcement systems for cities (Government Solutions) and toll/violation processing for rental-car fleets (Commercial Services). The stock fell roughly 82% from its 52-week high (\$25.57 to \$4.60 on the pack’s quote) on a belief that its largest commercial customer, Avis Budget Group, was leaving.

We believe that specific belief is false. On 2026-08-05 the company’s own quarterly release says Avis “entered into a seven-year contract extension” and Hertz “entered into a five-year extension” — executed language, from the issuer, about the two customers whose departure the crash was pricing. So the question is not *whether* the book was lost; it is *at what price it was retained*, and how much of the work Avis is allowed to take in-house.

That distinction is the whole investment. A repriced-but-retained contract at 2.4x leverage with an undrawn revolver is a survivable, ordinary bad year. A contract that lets the customer progressively insource the actual processing is a structurally smaller company. As of today we cannot tell those two apart from any document we have read.

What the market believes

The market believes the 2027 earnings base is unknowable and shrinking. Two things support that: management cut the full-year EBITDA guide by about \$45M and — on the earnings call — declined to guide 2027 at all; and the same guide cut Government Solutions margins by 450–500 basis points, which says the damage is not confined to the rental-car contract.

The tape is not pricing a bankruptcy. At \$4.60 the stock is already about 35% above its \$3.40 low, so the renewal news is at least partly absorbed. But it is still roughly 76% below its 26-week high *with executed renewals in hand* — the market is pricing a permanently smaller Commercial Services business, not a temporary reprice.

Why we might have edge

The crash narrative and the primary text disagree, and the disagreement is eight days wide. The framework press release of 2026-07-28 said the parties had agreed “on the key commercial terms” while “working collaboratively to finalize the remaining operational terms and conditions.” The 2026-08-05 release says “entered into.” Anyone still trading off the July headline — including, as it turns out, our own red-team bench — is working from a superseded document. Reading issuer primary text in date order is a real and repeatable edge.

Second, the balance sheet was never the argument. Roughly \$993M net debt at about 2.4x with the revolver undrawn means the company has time for a repriced contract to season. Nobody on either bench attacked solvency, because there is no solvency case to attack.

Third, the pessimism has a specific, dated resolution point rather than an open-ended one: the executed Avis and Hertz contracts must be filed as exhibits, and when they are, the insourcing scope is either capped or it is not.

Why it might be priced in

The bounce off the low already happened without us. We would be buying after a 35% move, on news that is public, in a covered mid-cap where we have pulled zero positioning data — no broker print, no read on whether the bounce is crowded dip-buying. Information asymmetry runs against a buyer here: the counterparty selling to us may have read the contract we cannot.

More pointedly: the July framework release grants Avis “the option to selectively perform certain activities internally.” That is not the same thing as the “modulate its fleet volume” language in the August release, and our original thesis blurred the two. If the insourcing option survived into the executed contract uncapped, the extension is a much weaker asset than “seven years” sounds, and the market’s discount is correct rather than stale.

Finally, we cannot isolate how bad the reprice actually is. The ~\$45M EBITDA cut is shared between the Commercial Services reprice and the Government Solutions margin cut. Two drivers, one number — which means our estimate of the new Commercial Services run-rate is not uniquely identified. That error runs both ways: the reprice could also be *smaller* than we modeled.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Avis is gone” (the crash narrative)	Issuer primary text, Jul-28 framework PR vs Aug-5 Q2 release	Aug-5 issuer language: Avis “entered into a seven-year contract extension”; Hertz “entered into a five-year extension”	REFUTED — the narrative is wrong
RED BENCH: “framework, not a contract — FATAL”	Blue re-read the Aug-5 release that red itself cited elsewhere	Executed language landed 8 days after the framework PR	OUR BENCH ERRED. Red killed the thesis on a stale document while citing the

Claim	How checked	Found	Confirmed?
			superseding one in its own sources. Reduced from fatal to a sizing point
OUR THESIS: “the add is triggered by the contract exhibit in the filed 10-Q”	Filing logic	A contract executed ~Aug 1–5 falls after the Jun-30 quarter end, so it is exhibited with the Q3 10-Q, not the Q2 one	OUR THESIS ERRED on the date. Red reached the right conclusion (no exhibit to read now) from the wrong premise
OUR THESIS: “the 10-Q could not be confirmed as filed”	Our own evidence pack’s filing inventory	10-Q filed 2026-08-05, accession 0001193125-26-335490	OUR THESIS ERRED — it contradicted the pack it was handed
Revenue bridge built on the pack’s audited XBRL series (~\$33M/quarter)	Cross-check against the Q2 release: total revenue \$263.6M, Commercial Services \$115.1M	The pack’s XBRL revenue tag is an artifact — it cannot be the topline of a company printing \$263.6M a quarter (stock comp would be ~20% of revenue). The OCF series carries a similar unit artifact	OUR SHARED INPUT ERRED. Both benches were fed the bad series. Net effect: <i>no</i> audited series currently corroborates any revenue figure in our bridge — the company press releases are internally consistent, but that is not the same as audited
RED BENCH: “already +44% off the low, so it’s priced in”	The pack’s own tape block	Pack quote is \$4.60, which is +35.3% off the \$3.40 low; red computed from \$4.91, a price in no source we hold	OUR BENCH ERRED on the arithmetic, and the inference fails separately — a bounce off a low is not evidence of efficient pricing, and red pulled no positioning data (its own finding admits this)
Insourcing option: scope and cap in the executed contract	EDGAR exhibit index	HTTP 403 on both attempts — index unreadable this session	NOT CHECKED — this is the decisive unknown
Tax receivable agreement (2018 Gores Holdings II SPAC legacy)	10-Q equity/tax note	Never pulled by either bench. A TRA liability plausibly sits <i>outside</i> the \$993M net debt figure we quoted	COURT-WIDE MISS. Our own rule — pull cap structure before quoting net debt — was violated by every party including the adjudicator

Claim	How checked	Found	Confirmed?
Live price, short interest, crowding	IBKR	Permission-blocked for both benches	NOT CHECKED — the \$4.60 is a Yahoo quote, not a broker print
Balance sheet: 2.4x, revolver undrawn	Nobody attacked it	Red went after provenance and contract status, never solvency	Plausible but NOT INDEPENDENTLY VERIFIED by us
Next earnings date 2026-10-28	Derived from yfinance	No company release names it	UNCONFIRMED

PROPOSED ENTRY BANDS

No entry. No price band is authorized, and none was computed — deliberately. The open question is a business-risk question (how much work the customer can take in-house), and our standing rule is that business risk cuts *size*, not entry price. Setting a price band here would imply we know what the contract says. We do not.

These are the reopen gates, verbatim from the adjudication. All three must clear before any position is discussed:

- Q3 10-Q (or earlier 8-K): executed Avis/Hertz exhibit scoping the insourcing option
- TRA + cap-structure pull
- IBKR print + discovery_state before any entry; business-risk -> SIZE cut once gates clear

Sizing: zero today. Post-gate size is set after gate 3, and starts from a size-cut baseline, not a normal starter.

Trims/exits: none — there is nothing held.

Dates that matter: - **2026-10-28** — expected Q3 print. Derived from yfinance, *not* confirmed by a company release. - **~2026-11-06** — Q3 10-Q, the first filing that should carry the executed Avis/Hertz exhibits. - **Any time before then** — an 8-K could carry the executed agreement first. That is the real trigger, and it is unschedulable.

Context, not a band: \$3.40 is the 52-week low, \$18.94 the 26-week high, \$4.60 the pack quote.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- filing watch: 8-K until 2027-02-13 (deck-provisional: Executed definitive Avis/Hertz agreement filed as an exhibit — read the insourcing-option scope/cap; m)
- dated pack VRRM|2026-11-06: VRRM Q3: HIT = executed Avis/Hertz exhibits confirm scope-limited insourcing. RESOLVE: python3 -m desk.calibration resolve VRRM FAVORABLE|UN

- dated pack VRRM|2026-10-28: VRRM: Expected Q3 2026 earnings print — yfinance-derived, no company release names it (date confirmed=False)

What remains unverified

The executed Avis contract itself — whether the insourcing option survived into it, and whether it is capped or scoped. That is the single fact this position turns on and we have not seen it.

Also unverified: the tax receivable agreement and therefore true leverage; any broker print or positioning read; the Hertz agreement text; a correct audited revenue series; the split of the \$45M EBITDA cut between the Commercial Services reprice and the Government Solutions margin decline; and the 2026-10-28 print date. Management's refusal to guide 2027 is not itself a fact about the business, but it does mean nobody outside the company currently has the earnings base.

Primary sources relied on throughout, in the issuer's own words: <https://www.prnewswire.com/news-releases/verra-mobility-announces-second-quarter-2026-financial-results-302843961.html> (2026-08-05), superseding <https://www.prnewswire.com/news-releases/verra-mobility-reaches-framework-agreement-with-avis-budget-group-302837023.html> (2026-07-28). The Q2 10-Q is accession 0001193125-26-335490; its exhibit index was unreadable this session.

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Two notes on what I did with the source material: price_gates is intentionally empty because both benches and the adjudication route this to size, not price — inventing a level would have contradicted the “use the reopen gates verbatim” instruction. And I could not save the file (Write is disabled here), so if you want it in desk/reports/VRRM_PITCH_DECK_20260817.md it needs to be written by another path.